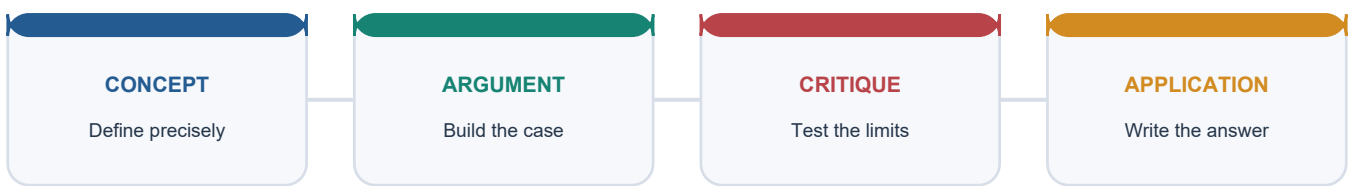


COMPLETE LEARNING SESSION

CAG - Solved Practice Workbook

UPSC complete learning session | Foundation to advanced | Concepts, evidence, practice and answer writing

LEARNING PATH



Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

Workbook Contents

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

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CAG - Solved Practice Workbook

Subject: Polity | **Control date:** 8 September 2026

Locked discipline: exactly 32 original MCQs before PYQs; answer sequence ABCD repeated eight times; 128 substantive unique option-specific explanations; 32 unique question-specific examiner traps; verified-PYQ key discipline; exactly six original Mains models.

Exactly **32 original MCQs** appear before PYQs. Correct-option sequence: ABCD repeated eight times. Every option has a substantive, unique explanation and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1. Constitutional appointment

The Comptroller and Auditor General of India is appointed

A. by the President by warrant under hand and seal B. by Parliament through a joint resolution C. by the President after mandatory parliamentary confirmation D. by the Chief Justice of India

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for constitutional appointment: Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.
- **B:** The statement "by Parliament through a joint resolution" mislocates the constitutional actor, source or safeguard. The controlling position is: Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.
- **C:** The statement "by the President after mandatory parliamentary confirmation" collapses the constitutional actor, source or safeguard. The controlling position is: Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.
- **D:** The statement "by the Chief Justice of India" reverses the constitutional actor, source or safeguard. The controlling position is: Article 148 specifies presidential appointment by warrant under hand and seal; no confirmation hearing is constitutionally required.

Examiner trap 1: Presidential appointment does not imply parliamentary confirmation.

MCQ 2. Form of accounts

Under Article 150, the form in which Union and State accounts are kept is prescribed by

A. the Finance Commission B. the President on the advice of the CAG C. Parliament by annual resolution D. the CAG acting alone

Answer: B.

Option-specific explanations:

- **A:** The statement "the Finance Commission" mislocates the constitutional actor, source or safeguard. The controlling position is: Article 150 uses the President-on-CAG-advice formulation.
- **B:** Option B matches the governing proposition for form of accounts: Article 150 uses the President-on-CAG-advice formulation.
- **C:** The statement "Parliament by annual resolution" reverses the constitutional actor, source or safeguard. The controlling position is: Article 150 uses the President-on-CAG-advice formulation.
- **D:** The statement "the CAG acting alone" adds a power absent from the constitutional actor, source or safeguard. The controlling position is: Article 150 uses the President-on-CAG-advice formulation.

Examiner trap 2: Article 150 names the President as prescribing authority and the CAG as adviser.

MCQ 3. Tenure source

Which statement is correct regarding CAG tenure?

A. Article 149 fixes six years without an age limit B. tenure continues during the President's pleasure C. Section 4 of the DPC Act fixes six years or age 65, whichever is earlier D. Article 148 itself fixes five years

Answer: C.

Option-specific explanations:

- **A:** The statement "Article 149 fixes six years without an age limit" collapses the constitutional actor, source or safeguard. The controlling position is: The numerical tenure rule is statutory, not written in Article 148.
- **B:** The statement "tenure continues during the President's pleasure" reverses the constitutional actor, source or safeguard. The controlling position is: The numerical tenure rule is statutory, not written in Article 148.
- **C:** Option C matches the governing proposition for tenure source: The numerical tenure rule is statutory, not written in Article 148.
- **D:** The statement "Article 148 itself fixes five years" ignores the limit in the constitutional actor, source or safeguard. The controlling position is: The numerical tenure rule is statutory, not written in Article 148.

Examiner trap 3: The numerical tenure is statutory, not written in Article 148.

MCQ 4. Post-tenure position

After ceasing to hold office, the CAG

A. may hold another office if Parliament approves B. may become a Governor but not a Union Minister C. may accept a State post after a cooling-off period D. is ineligible for further office under the Union or any State government

Answer: D.

Option-specific explanations:

- **A:** The statement "may hold another office if Parliament approves" reverses the constitutional actor, source or safeguard. The controlling position is: Article 148(4) creates the post-office bar.
- **B:** The statement "may become a Governor but not a Union Minister" adds a power absent from the constitutional actor, source or safeguard. The controlling position is: Article 148(4) creates the post-office bar.
- **C:** The statement "may accept a State post after a cooling-off period" ignores the limit in the constitutional actor, source or safeguard. The controlling position is: Article 148(4) creates the post-office bar.
- **D:** Option D matches the governing proposition for post-tenure position: Article 148(4) creates the post-office bar.

Examiner trap 4: The post-office bar has no cooling-off exception.

MCQ 5. Removal

The CAG may be removed

A. in the same manner and on the same grounds as a Supreme Court Judge B. by a simple majority of the Lok Sabha C. by the Chief Justice of India after inquiry D. by the President on Cabinet advice without legislative action

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for removal: Article 148 imports the Supreme-Court-Judge removal safeguard.
- **B:** The statement "by a simple majority of the Lok Sabha" ignores the limit in the constitutional actor, source or safeguard. The controlling position is: Article 148 imports the Supreme-Court-Judge removal safeguard.
- **C:** The statement "by the Chief Justice of India after inquiry" replaces the constitutional actor, source or safeguard. The controlling position is: Article 148 imports the Supreme-Court-Judge removal safeguard.
- **D:** The statement "by the President on Cabinet advice without legislative action" confuses the constitutional actor, source or safeguard. The controlling position is: Article 148 imports the Supreme-Court-Judge removal safeguard.

Examiner trap 5: Removal protection is judicial-style, not pleasure tenure.

MCQ 6. Article 149

Article 149 primarily provides that CAG duties and powers are

- A. determined by State legislatures B. prescribed by or under law made by Parliament C. exhaustively listed in the Constitution D. limited to Union expenditure

Answer: B.

Option-specific explanations:

- **A:** The statement "determined by State legislatures" ignores the limit in the constitutional actor, source or safeguard. The controlling position is: Article 149 is the constitutional gateway to parliamentary prescription.
- **B:** Option B matches the governing proposition for article 149: Article 149 is the constitutional gateway to parliamentary prescription.
- **C:** The statement "exhaustively listed in the Constitution" confuses the constitutional actor, source or safeguard. The controlling position is: Article 149 is the constitutional gateway to parliamentary prescription.
- **D:** The statement "limited to Union expenditure" overstates the constitutional actor, source or safeguard. The controlling position is: Article 149 is the constitutional gateway to parliamentary prescription.

Examiner trap 6: Article 149 is a gateway to parliamentary law, not an exhaustive list.

MCQ 7. Article 151 State route

A CAG report relating to State accounts is submitted to the

- A. State PAC for initial approval B. Chief Minister for direct publication C. Governor for laying before the State legislature D. President for laying before Parliament

Answer: C.

Option-specific explanations:

- **A:** The statement "State PAC for initial approval" replaces the constitutional actor, source or safeguard. The controlling position is: Article 151(2) establishes the Governor-to-State-legislature route.
- **B:** The statement "Chief Minister for direct publication" confuses the constitutional actor, source or safeguard. The controlling position is: Article 151(2) establishes the Governor-to-State-legislature route.
- **C:** Option C matches the governing proposition for article 151 state route: Article 151(2) establishes the Governor-to-State-legislature route.
- **D:** The statement "President for laying before Parliament" mislocates the constitutional actor, source or safeguard. The controlling position is: Article 151(2) establishes the Governor-to-State-legislature route.

Examiner trap 7: State reports go through the Governor, not the President.

MCQ 8. Direct enforcement

Which is NOT a power that follows merely from issuing a CAG report?

- A. supporting PAC/CoPU examination B. informing legislative scrutiny C. recommending system correction D. directly punishing an executive official

Answer: D.

Option-specific explanations:

- **A:** The statement "supporting PAC/CoPU examination" confuses the constitutional actor, source or safeguard. The controlling position is: Penalty, recovery and prosecution require action by legally competent authorities.
- **B:** The statement "informing legislative scrutiny" overstates the constitutional actor, source or safeguard. The controlling position is: Penalty, recovery and prosecution require action by legally competent authorities.
- **C:** The statement "recommending system correction" mislocates the constitutional actor, source or safeguard. The controlling position is: Penalty, recovery and prosecution require action by legally competent authorities.
- **D:** Option D matches the governing proposition for direct enforcement: Penalty, recovery and prosecution require action by legally competent authorities.

Examiner trap 8: Reporting never creates direct punishment power.

MCQ 9. Audit timing

The description "Comptroller in name only" principally refers to the fact that India's CAG

A. predominantly audits after expenditure rather than pre-authorising each issue of funds B. lacks access to government records C. reports only to the executive D. cannot audit receipts

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for audit timing: *S. Subramaniam Balaji (2013)* confirms post-expenditure examination; the phrase concerns ex-ante issue control.
- **B:** The statement "lacks access to government records" mislocates the statutory fund, threshold or access rule. The controlling position is: *S. Subramaniam Balaji (2013)* confirms post-expenditure examination; the phrase concerns ex-ante issue control.
- **C:** The statement "reports only to the executive" collapses the statutory fund, threshold or access rule. The controlling position is: *S. Subramaniam Balaji (2013)* confirms post-expenditure examination; the phrase concerns ex-ante issue control.
- **D:** The statement "cannot audit receipts" reverses the statutory fund, threshold or access rule. The controlling position is: *S. Subramaniam Balaji (2013)* confirms post-expenditure examination; the phrase concerns ex-ante issue control.

Examiner trap 9: Comptroller refers to ex-ante issue control, which India generally lacks.

MCQ 10. Accounts function

Which statement is most accurate?

A. Finance Commission compiles government accounts B. CAG compiles/prepares accounts where responsibility remains under Sections 10-12 and valid orders C. CAG universally compiles every Union and State account D. CAG has no accounts-related function after 1976

Answer: B.

Option-specific explanations:

- **A:** The statement "Finance Commission compiles government accounts" mislocates the statutory fund, threshold or access rule. The controlling position is: Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.
- **B:** Option B matches the governing proposition for accounts function: Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.
- **C:** The statement "CAG universally compiles every Union and State account" reverses the statutory fund, threshold or access rule. The controlling position is: Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.
- **D:** The statement "CAG has no accounts-related function after 1976" adds a power absent from the statutory fund, threshold or access rule. The controlling position is: Departmentalisation changed Union responsibilities, but the DPC Act preserves accounts functions where not relieved.

Examiner trap 10: Departmentalisation did not erase every residual accounts function.

MCQ 11. Section 13

Section 13 requires the CAG, among other things, to test whether expenditure from a Consolidated Fund

A. generated a political consensus B. was approved by the PAC before payment C. was legally available, applicable to the purpose and conformed to authority D. achieved every policy objective

Answer: C.

Option-specific explanations:

- **A:** The statement "generated a political consensus" collapses the statutory fund, threshold or access rule. The controlling position is: This is the statutory appropriation/compliance core.
- **B:** The statement "was approved by the PAC before payment" reverses the statutory fund, threshold or access rule. The controlling position is: This is the statutory appropriation/compliance core.
- **C:** Option C matches the governing proposition for section 13: This is the statutory appropriation/compliance core.
- **D:** The statement "achieved every policy objective" ignores the limit in the statutory fund, threshold or access rule. The controlling position is: This is the statutory appropriation/compliance core.

Examiner trap 11: Section 13 tests availability, purpose and governing authority.

MCQ 12. Fund transactions

Under Section 13, which pair is also audited?

A. municipal social audits and cooperative elections B. only Consolidated Fund withdrawals C. only State contingency grants and private deposits D. transactions relating to Contingency Funds and Public Accounts

Answer: D.

Option-specific explanations:

- **A:** The statement "municipal social audits and cooperative elections" reverses the statutory fund, threshold or access rule. The controlling position is: Section 13 expressly includes these transactions.
- **B:** The statement "only Consolidated Fund withdrawals" adds a power absent from the statutory fund, threshold or access rule. The controlling position is: Section 13 expressly includes these transactions.
- **C:** The statement "only State contingency grants and private deposits" ignores the limit in the statutory fund, threshold or access rule. The controlling position is: Section 13 expressly includes these transactions.
- **D:** Option D matches the governing proposition for fund transactions: Section 13 expressly includes these transactions.

Examiner trap 12: Contingency Fund and Public Account transactions are distinct from Consolidated Fund expenditure.

MCQ 13. Section 14(1)

For the statutory deemed substantial-finance test in Section 14(1), the grant or loan must be at least

A. Rs 25 lakh and at least 75 per cent of total expenditure B. Rs 10 lakh and at least 50 per cent of revenue C. any amount approved by the PAC D. Rs 1 crore with no proportion test in every case

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for section 14(1): These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.
- **B:** The statement "Rs 10 lakh and at least 50 per cent of revenue" ignores the limit in the statutory fund, threshold or access rule. The controlling position is: These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.
- **C:** The statement "any amount approved by the PAC" replaces the statutory fund, threshold or access rule. The controlling position is: These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.

- **D:** The statement "Rs 1 crore with no proportion test in every case" confuses the statutory fund, threshold or access rule. The controlling position is: These are the stated Section 14(1) thresholds; Section 14(2) is a separate route.

Examiner trap 13: Section 14(1) needs both the monetary and proportion tests.

MCQ 14. Section 15

Section 15 primarily scrutinises

- A. every transaction of an unfinanced private company B. procedures by which a sanctioning authority assures compliance with specific-purpose grant/loan conditions C. the constitutional validity of taxation D. election expenditure of political parties

Answer: B.

Option-specific explanations:

- **A:** The statement "every transaction of an unfinanced private company" ignores the limit in the statutory fund, threshold or access rule. The controlling position is: Section 15 centres the grant/loan assurance process.
- **B:** Option B matches the governing proposition for section 15: Section 15 centres the grant/loan assurance process.
- **C:** The statement "the constitutional validity of taxation" confuses the statutory fund, threshold or access rule. The controlling position is: Section 15 centres the grant/loan assurance process.
- **D:** The statement "election expenditure of political parties" overstates the statutory fund, threshold or access rule. The controlling position is: Section 15 centres the grant/loan assurance process.

Examiner trap 14: Section 15 scrutinises grant-assurance procedure, not every grantee transaction.

MCQ 15. Receipts audit

Section 16 requires audit of

- A. only GST Council recommendations B. political donations C. receipts payable into Consolidated Funds and the systems for assessment, collection and allocation D. receipts of private associations unrelated to government

Answer: C.

Option-specific explanations:

- **A:** The statement "only GST Council recommendations" replaces the statutory fund, threshold or access rule. The controlling position is: The receipt must connect to the Consolidated Fund mandate.
- **B:** The statement "political donations" confuses the statutory fund, threshold or access rule. The controlling position is: The receipt must connect to the Consolidated Fund mandate.
- **C:** Option C matches the governing proposition for receipts audit: The receipt must connect to the Consolidated Fund mandate.
- **D:** The statement "receipts of private associations unrelated to government" mislocates the statutory fund, threshold or access rule. The controlling position is: The receipt must connect to the Consolidated Fund mandate.

Examiner trap 15: Section 16 concerns receipts payable into Consolidated Funds.

MCQ 16. Access power

Section 18 does NOT create

- A. power to seek information from responsible officers B. authority to inspect relevant offices C. power to call for relevant documents D. free-standing universal jurisdiction over every record in India

Answer: D.

Option-specific explanations:

- **A:** The statement "power to seek information from responsible officers" confuses the statutory fund, threshold or access rule. The controlling position is: Access follows an existing audit duty.

- **B:** The statement "authority to inspect relevant offices" overstates the statutory fund, threshold or access rule. The controlling position is: Access follows an existing audit duty.
- **C:** The statement "power to call for relevant documents" mislocates the statutory fund, threshold or access rule. The controlling position is: Access follows an existing audit duty.
- **D:** Option D matches the governing proposition for access power: Access follows an existing audit duty.

Examiner trap 16: Section 18 access is ancillary to an existing audit duty.

MCQ 17. Audit types

Which audit asks whether financial information is presented according to the applicable reporting framework?

A. financial audit B. performance audit C. propriety audit D. receipts audit

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for audit types: Financial audit provides assurance on financial statements/information.
- **B:** The statement "performance audit" mislocates the audit purpose, timing or legal consequence. The controlling position is: Financial audit provides assurance on financial statements/information.
- **C:** The statement "propriety audit" collapses the audit purpose, timing or legal consequence. The controlling position is: Financial audit provides assurance on financial statements/information.
- **D:** The statement "receipts audit" reverses the audit purpose, timing or legal consequence. The controlling position is: Financial audit provides assurance on financial statements/information.

Examiner trap 17: Audit types identify different questions and criteria.

MCQ 18. Compliance audit

Compliance audit primarily compares activities and transactions with

A. only accounting estimates B. applicable law, rules, sanctions, contracts and governing authority C. popular opinion D. the auditor's preferred policy

Answer: B.

Option-specific explanations:

- **A:** The statement "only accounting estimates" mislocates the audit purpose, timing or legal consequence. The controlling position is: Compliance criteria are authoritative requirements.
- **B:** Option B matches the governing proposition for compliance audit: Compliance criteria are authoritative requirements.
- **C:** The statement "popular opinion" reverses the audit purpose, timing or legal consequence. The controlling position is: Compliance criteria are authoritative requirements.
- **D:** The statement "the auditor's preferred policy" adds a power absent from the audit purpose, timing or legal consequence. The controlling position is: Compliance criteria are authoritative requirements.

Examiner trap 18: Compliance is wider than arithmetic accuracy but narrower than policy choice.

MCQ 19. Performance audit

The three E's are

A. evidence, enforcement and expenditure B. economy, equity and ethics C. economy, efficiency and effectiveness D. equality, entitlement and enforcement

Answer: C.

Option-specific explanations:

- **A:** The statement "evidence, enforcement and expenditure" collapses the audit purpose, timing or legal consequence. The controlling position is: Official CAG performance-audit guidance uses economy, efficiency and effectiveness.

- **B:** The statement "economy, equity and ethics" reverses the audit purpose, timing or legal consequence. The controlling position is: Official CAG performance-audit guidance uses economy, efficiency and effectiveness.
- **C:** Option C matches the governing proposition for performance audit: Official CAG performance-audit guidance uses economy, efficiency and effectiveness.
- **D:** The statement "equality, entitlement and enforcement" ignores the limit in the audit purpose, timing or legal consequence. The controlling position is: Official CAG performance-audit guidance uses economy, efficiency and effectiveness.

Examiner trap 19: Performance audit tests the three Es, not legislative intention as such.

MCQ 20. Propriety boundary

Which is the safest formulation?

A. propriety and legality are identical B. propriety audit is prohibited by the DPC Act C. propriety audit lets CAG choose policy for the government D. propriety tests prudence and economy but should not become an unlimited policy veto

Answer: D.

Option-specific explanations:

- **A:** The statement "propriety and legality are identical" reverses the audit purpose, timing or legal consequence. The controlling position is: Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.
- **B:** The statement "propriety audit is prohibited by the DPC Act" adds a power absent from the audit purpose, timing or legal consequence. The controlling position is: Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.
- **C:** The statement "propriety audit lets CAG choose policy for the government" ignores the limit in the audit purpose, timing or legal consequence. The controlling position is: Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.
- **D:** Option D matches the governing proposition for propriety boundary: Official commentary tests wisdom, faithfulness and economy; [LIMIT] elected policy space remains.

Examiner trap 20: Propriety does not automatically prove corruption.

MCQ 21. Government-company auditor

Under the Companies Act, 2013 framework, the statutory auditor of a government company is appointed by

A. the CAG under the applicable Section 139 route B. the Finance Ministry without CAG involvement C. CoPU D. PAC

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for government-company auditor: Sections 139(5)/(7) govern the CAG appointment role.
- **B:** The statement "the Finance Ministry without CAG involvement" ignores the limit in the entity-specific audit route. The controlling position is: Sections 139(5)/(7) govern the CAG appointment role.
- **C:** The statement "CoPU" replaces the entity-specific audit route. The controlling position is: Sections 139(5)/(7) govern the CAG appointment role.
- **D:** The statement "PAC" confuses the entity-specific audit route. The controlling position is: Sections 139(5)/(7) govern the CAG appointment role.

Examiner trap 21: Government-company audit follows a layered Companies Act route.

MCQ 22. Supplementary audit

The CAG's supplementary audit of a government company's financial statements is associated with

A. Section 15 of the DPC Act alone B. Section 143(6) of the Companies Act, 2013 C. Article 280 D. Article 324

Answer: B.

Option-specific explanations:

- **A:** The statement "Section 15 of the DPC Act alone" ignores the limit in the entity-specific audit route. The controlling position is: Section 143(6) provides the supplementary audit/comment route.
- **B:** Option B matches the governing proposition for supplementary audit: Section 143(6) provides the supplementary audit/comment route.
- **C:** The statement "Article 280" confuses the entity-specific audit route. The controlling position is: Section 143(6) provides the supplementary audit/comment route.
- **D:** The statement "Article 324" overstates the entity-specific audit route. The controlling position is: Section 143(6) provides the supplementary audit/comment route.

Examiner trap 22: Supplementary audit is different from the company auditor's primary audit.

MCQ 23. Statutory corporation

Audit of a corporation established by parliamentary law is principally controlled by

A. a PAC resolution creating jurisdiction B. private agreement alone C. its governing legislation read with DPC Act Section 19(2) D. a universal identical model for all corporations

Answer: C.

Option-specific explanations:

- **A:** The statement "a PAC resolution creating jurisdiction" replaces the entity-specific audit route. The controlling position is: Section 19(2) defers to the respective legislation.
- **B:** The statement "private agreement alone" confuses the entity-specific audit route. The controlling position is: Section 19(2) defers to the respective legislation.
- **C:** Option C matches the governing proposition for statutory corporation: Section 19(2) defers to the respective legislation.
- **D:** The statement "a universal identical model for all corporations" mislocates the entity-specific audit route. The controlling position is: Section 19(2) defers to the respective legislation.

Examiner trap 23: Statutory corporations follow their constituting legislation.

MCQ 24. Entrusted audit

Section 20 audit requires, among other safeguards,

A. only a newspaper allegation B. no consultation with CAG C. automatic application to all NGOs D. lawful request/empowerment, public interest, consultation and opportunity to represent

Answer: D.

Option-specific explanations:

- **A:** The statement "only a newspaper allegation" confuses the entity-specific audit route. The controlling position is: Section 20 contains these procedural and public-interest controls.
- **B:** The statement "no consultation with CAG" overstates the entity-specific audit route. The controlling position is: Section 20 contains these procedural and public-interest controls.
- **C:** The statement "automatic application to all NGOs" mislocates the entity-specific audit route. The controlling position is: Section 20 contains these procedural and public-interest controls.
- **D:** Option D matches the governing proposition for entrusted audit: Section 20 contains these procedural and public-interest controls.

Examiner trap 24: Section 20 contains consultation, public-interest and representation safeguards.

MCQ 25. Telecom judgment

The 2014 telecom audit case supports the proposition that CAG may

A. audit records needed to verify the government's revenue share under the public-resource/licence arrangement B. impose licence penalties directly C. replace TRAI as sector regulator D. audit every private company for every purpose

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for telecom judgment: The holding was tied to licence fee/spectrum charge revenue computation.
- **B:** The statement "impose licence penalties directly" mislocates the judicial holding and its boundary. The controlling position is: The holding was tied to licence fee/spectrum charge revenue computation.
- **C:** The statement "replace TRAI as sector regulator" collapses the judicial holding and its boundary. The controlling position is: The holding was tied to licence fee/spectrum charge revenue computation.
- **D:** The statement "audit every private company for every purpose" reverses the judicial holding and its boundary. The controlling position is: The holding was tied to licence fee/spectrum charge revenue computation.

Examiner trap 25: The telecom holding is bounded to verification of Union revenue share.

MCQ 26. Centre for Public Interest Litigation (2012)

Which statement most accurately describes the Supreme Court's 2G spectrum holding?

A. It treated the CAG's presumptive-loss estimate as proof of criminal guilt B. It held the 2008 first-come-first-served allocation arbitrary under Article 14 and quashed 122 licences C. It gave the CAG power to cancel telecom licences D. It made auction mandatory for allocation of every natural resource in every context

Answer: B.

Option-specific explanations:

- **A:** The statement "It treated the CAG's presumptive-loss estimate as proof of criminal guilt" mislocates the judicial holding and its boundary. The controlling position is: The Court applied Article 14 to the arbitrary 2008 allocation process and quashed 122 licences.
- **B:** Option B matches the governing proposition for *centre for public interest litigation* (2012): The Court applied Article 14 to the arbitrary 2008 allocation process and quashed 122 licences.
- **C:** The statement "It gave the CAG power to cancel telecom licences" reverses the judicial holding and its boundary. The controlling position is: The Court applied Article 14 to the arbitrary 2008 allocation process and quashed 122 licences.
- **D:** The statement "It made auction mandatory for allocation of every natural resource in every context" adds a power absent from the judicial holding and its boundary. The controlling position is: The Court applied Article 14 to the arbitrary 2008 allocation process and quashed 122 licences.

Examiner trap 26: Separate the Court's Article 14 allocation holding from the CAG report's methodology and from later criminal proceedings.

MCQ 27. Arun Kumar Agrawal (2013)

The controlled proposition from *Arun Kumar Agrawal* (2013) is that

A. courts may never read a CAG report B. a CAG report has no public value C. a CAG report commands respect but is subject to parliamentary scrutiny and is not automatically final proof D. PAC must accept every audit paragraph

Answer: C.

Option-specific explanations:

- **A:** The statement "courts may never read a CAG report" collapses the judicial holding and its boundary. The controlling position is: The case emphasises report scrutiny and ministry/PAC response.

- **B:** The statement "a CAG report has no public value" reverses the judicial holding and its boundary. The controlling position is: The case emphasises report scrutiny and ministry/PAC response.
- **C:** Option C matches the governing proposition for *arun kumar agrawal (2013)*: The case emphasises report scrutiny and ministry/PAC response.
- **D:** The statement "PAC must accept every audit paragraph" ignores the limit in the judicial holding and its boundary. The controlling position is: The case emphasises report scrutiny and ministry/PAC response.

Examiner trap 27: Arun Kumar Agrawal treats a CAG report as subject to parliamentary scrutiny.

MCQ 28. PAC relation

The CAG is best described in relation to PAC as

A. a ministerial representative B. the voting chairperson C. the final parliamentary decision-maker D. technical friend, philosopher and guide, not a committee member

Answer: D.

Option-specific explanations:

- **A:** The statement "a ministerial representative" reverses the committee, report or institutional role. The controlling position is: Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.
- **B:** The statement "the voting chairperson" adds a power absent from the committee, report or institutional role. The controlling position is: Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.
- **C:** The statement "the final parliamentary decision-maker" ignores the limit in the committee, report or institutional role. The controlling position is: Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.
- **D:** Option D matches the governing proposition for pac relation: Official parliamentary usage supports the phrase; [LIMIT] the committee makes its own conclusions.

Examiner trap 28: CAG assists PAC but is neither member nor final decision-maker.

MCQ 29. CoPU

CoPU principally specialises in

A. public undertakings and relevant CAG reports/accounts B. judicial appointments C. State Finance Commission reports D. election finance

Answer: A.

Option-specific explanations:

- **A:** Option A matches the governing proposition for copu: CoPU is the public-enterprise financial committee.
- **B:** The statement "judicial appointments" ignores the limit in the committee, report or institutional role. The controlling position is: CoPU is the public-enterprise financial committee.
- **C:** The statement "State Finance Commission reports" replaces the committee, report or institutional role. The controlling position is: CoPU is the public-enterprise financial committee.
- **D:** The statement "election finance" confuses the committee, report or institutional role. The controlling position is: CoPU is the public-enterprise financial committee.

Examiner trap 29: CoPU has an undertaking-focused remit distinct from PAC.

MCQ 30. CAG report sequence

Which sequence is constitutionally and institutionally sound for a Union report?

- A. CAG -> PAC -> President -> Supreme Court B. CAG -> President -> Parliament -> committee scrutiny -> executive action taken C. CAG -> Prime Minister -> company auditor -> Parliament D. CAG -> Finance Commission -> Governor -> Lok Sabha

Answer: B.

Option-specific explanations:

- **A:** The statement "CAG -> PAC -> President -> Supreme Court" ignores the limit in the committee, report or institutional role. The controlling position is: Article 151 supplies the President-to-Parliament route; committees and action taken follow.
- **B:** Option B matches the governing proposition for cag report sequence: Article 151 supplies the President-to-Parliament route; committees and action taken follow.
- **C:** The statement "CAG -> Prime Minister -> company auditor -> Parliament" confuses the committee, report or institutional role. The controlling position is: Article 151 supplies the President-to-Parliament route; committees and action taken follow.
- **D:** The statement "CAG -> Finance Commission -> Governor -> Lok Sabha" overstates the committee, report or institutional role. The controlling position is: Article 151 supplies the President-to-Parliament route; committees and action taken follow.

Examiner trap 30: Draft response, final report, laying and committee scrutiny are separate stages.

MCQ 31. Local bodies

Which statement is correct?

- A. social audit is identical to CAG audit B. Articles 243J/243Z abolish State audit law C. State law controls local-body accounts/audit, while CAG may provide TGS or audit under applicable arrangements D. CAG is automatically the sole primary auditor of every local body

Answer: C.

Option-specific explanations:

- **A:** The statement "social audit is identical to CAG audit" replaces the federal or fiscal division of functions. The controlling position is: Local audit architecture is State-law dependent.
- **B:** The statement "Articles 243J/243Z abolish State audit law" confuses the federal or fiscal division of functions. The controlling position is: Local audit architecture is State-law dependent.
- **C:** Option C matches the governing proposition for local bodies: Local audit architecture is State-law dependent.
- **D:** The statement "CAG is automatically the sole primary auditor of every local body" mislocates the federal or fiscal division of functions. The controlling position is: Local audit architecture is State-law dependent.

Examiner trap 31: Articles 243J/243Z prevent a false claim of automatic universal local-body audit.

MCQ 32. Finance Commission link

The Union Finance Commission's local-body function under Article 280(3)(bb)/(c) relates to

- A. replacing State Finance Commissions B. appointing local auditors C. directly levying municipal tax D. measures augmenting State Consolidated Funds for Panchayat/Municipality resources on the SFC basis

Answer: D.

Option-specific explanations:

- **A:** The statement "replacing State Finance Commissions" confuses the federal or fiscal division of functions. The controlling position is: This is the constitutional fiscal link.
- **B:** The statement "appointing local auditors" overstates the federal or fiscal division of functions. The controlling position is: This is the constitutional fiscal link.

- **C:** The statement "directly levying municipal tax" mislocates the federal or fiscal division of functions. The controlling position is: This is the constitutional fiscal link.
- **D:** Option D matches the governing proposition for finance commission link: This is the constitutional fiscal link.

Examiner trap 32: Article 279 certification and Article 280 recommendations belong to different institutions.

PYQS AND ANSWER PRACTICE

Audited PYQ and official-key discipline

- The audited source set contains two direct CAG Mains demands: 2018 GS-II Q5 and 2024 GS-II Q4.
- The 2018 demand is neutrally rendered because the locally held official-paper scan has an OCR-corrupted printed tail; year, paper, question number, directive, marks and word limit are controlled.
- The 2024 wording below is reproduced from the locally held official-paper OCR.
- Three Parliament-owner questions are retained only as clearly labelled adjacent applications of the CAG-PAC-CoPU chain.
- UPSC does not publish model answers for Mains papers; every solution below is an examiner-ready model, not an official key.
- No direct CAG Prelims item with a safely controlled official final key was found in the audited 2018-2026 ledgers; none is invented.

Verified PYQ 1 - UPSC GS-II 2018, Q5 - 10 marks, 150 words

Neutral audited rendering: Explain the method of appointment, terms of office and range of powers of the Comptroller and Auditor General of India.

Model answer: The CAG is appointed by the President by warrant under hand and seal under Article 148 and takes the Third Schedule oath. Article 148 protects tenure through the Supreme-Court-Judge removal route, bars disadvantageous variation of service conditions, charges specified office expenses on the Consolidated Fund of India and prohibits further Union or State government office. Section 4 of the DPC Act fixes six years or age sixty-five, whichever is earlier, with resignation to the President. Article 149 and Sections 13-20 authorise audit of expenditure, funds, receipts, stores, financed bodies, companies, corporations and entrusted bodies. Article 150 concerns account form and Article 151 routes reports through the President or Governor to legislatures. The CAG is predominantly an ex-post auditor and cannot itself punish or recover.

Verified PYQ 2 - UPSC GS-II 2024, Q4 - 10 marks, 150 words

"The duty of the Comptroller and Auditor General is not merely to ensure the legality of expenditure but also its propriety." Comment.

Model answer: The statement is valid if propriety audit remains bounded by policy choice and implementation. Legality is the floor: Section 13 tests whether money was legally available, applied to the authorised purpose and spent under governing authority. Propriety tests whether financial discretion was faithful, prudent and economical, exposing waste or avoidable cost even where formal rules were followed. Performance audit adds economy, efficiency and effectiveness; *Arvind Gupta* upheld this function as in-built in the 1971 Act. Yet a propriety finding is not a policy veto or proof of corruption. The CAG should examine preparation, implementation, contracts and results against disclosed criteria, while elected institutions retain lawful policy choice. Article 151 and PAC/CoPU scrutiny convert findings into democratic accountability.

Verified Adjacent PYQ 3 - UPSC GS-II 2018, Q4 - 10 marks, 150 words

Neutral audited rendering: Discuss the usefulness of parliamentary committees, with particular reference to the Estimates Committee.

Model answer: Parliamentary committees provide specialised and continuous scrutiny beyond limited floor time. The Estimates Committee examines budget estimates prospectively to suggest economy, organisational improvement and alternative implementation. PAC is different: it uses Appropriation and Finance Accounts and selected CAG reports to scrutinise expenditure after execution. CoPU focuses on specified public undertakings and relevant CAG reports. Committees can call officials, compare records and require action-taken responses, translating technical information into legislative accountability. Their recommendations remain advisory, and effectiveness can be reduced by selective examination, delay, party discipline and weak follow-up. The committee system is Parliament's working scrutiny machinery: Estimates improves future economy, while PAC and CAG close the post-expenditure accountability loop.

Verified Adjacent PYQ 4 - UPSC GS-II 2021, Q4 - 10 marks, 150 words

Neutral audited rendering: To what extent is Parliament able to ensure executive accountability in India?

Model answer: Parliament has strong formal instruments but uneven practical control. Questions, debates, motions, budget votes and committees require executive explanation. Financial accountability is especially structured: Parliament authorises expenditure; the CAG audits under Articles 149-151 and the DPC Act; PAC and CoPU examine selected reports and departmental evidence. This chain converts executive records into public reasons and action-taken commitments. However, party discipline, limited sittings, guillotined demands, delayed reports and replies, and selective committee agendas weaken effect. A CAG report is not itself a parliamentary conclusion or binding order. Parliament's capacity is substantial in design but conditional in operation on committee time, information quality, opposition space and timely executive response.

Verified Adjacent PYQ 5 - UPSC GS-II 2023, Q16 - 15 marks, 250 words

Neutral audited rendering: Explain the structure of the Parliamentary Committee system and the role of financial committees in institutionalising parliamentary control over public finance.

Model answer: Parliamentary committees are smaller multi-party bodies that examine legislation, administration and finance in detail and report to the House. Department-related standing committees scrutinise demands for grants, Bills, annual reports and long-term policy. The principal financial committees are the Estimates Committee, Public Accounts Committee and Committee on Public Undertakings. Estimates is prospective: it examines estimates and suggests economy or organisational improvement. PAC is retrospective: it examines Appropriation and Finance Accounts and selected CAG reports, asking whether money was spent within grant, purpose and authority. CoPU examines specified public undertakings and related CAG material. The CAG supplies independent evidence and technical assistance but is not a committee member and does not determine committee conclusions. Ministers are excluded from these committees. Their strengths are specialisation, continuity and access to officials; weaknesses include selective coverage, delay, advisory recommendations and uneven action-taken follow-up. They institutionalise control when audit evidence, committee examination and executive response operate as a continuous cycle.

ORIGINAL MAINS PRACTICE - EXACTLY SIX MODELS

Original Mains 1 - 10 marks, 150 words

Question: Explain how Article 148 protects the independence of the CAG while leaving a debate at the appointment stage.

Model answer: Article 148 builds independence mainly through post-appointment safeguards. The President appoints the CAG by warrant under hand and seal, but removal is possible only in the same manner and on the same grounds as a Supreme Court Judge. Salary and protected service rights cannot be varied to disadvantage after appointment. The CAG is barred from further office under the Union or any State, reducing the prospect of executive reward. Salary and specified administrative expenses are charged on the Consolidated Fund of India, while staff rules and administrative powers require consultation with the CAG. These protections secure difficult removal, financial

insulation and career neutrality. However, the Constitution prescribes no collegium, public eligibility criteria or confirmation hearing. Thus, the office is strongly insulated after selection, while transparency and plural consultation at selection remain legitimate reform questions.

Original Mains 2 - 10 marks, 150 words

Question: Why is India's CAG described as a Comptroller only in name?

Model answer: A comptroller in the classic exchequer sense exercises control before public money is issued; India's CAG predominantly audits after expenditure. Article 149 and the DPC Act authorise examination of expenditure, transactions, receipts and performance, while Article 151 sends findings to legislatures. They do not ordinarily require CAG approval before each government payment. The 1976 departmentalisation of Union accounts also separated much executive account compilation from independent audit. *S. Subramaniam Balaji* described examination of legality, validity and propriety as arising after expenditure. The phrase therefore captures timing, not weakness. Ex-post audit can expose unauthorised spending, waste and failed implementation and support PAC/CoPU scrutiny, recovery or prosecution by competent authorities. The CAG is chiefly Auditor-General in operation; Parliament supplies consequential control.

Original Mains 3 - 15 marks, 250 words

Question: Analyse the differentiated routes through which the CAG audits departments, financed bodies, government companies, statutory corporations and local bodies.

Model answer: CAG jurisdiction follows legal form and public-finance nexus rather than a single public-sector label. Departments fall within Section 13 for Consolidated Fund expenditure, Contingency Fund/Public Account transactions and departmental commercial accounts; Sections 16-18 cover receipts, stores and access. Section 14 audits substantially financed bodies when statutory tests are met, while Section 15 scrutinises the sanctioning authority's procedures for specific-purpose grants or loans. Government companies follow Section 19 read with Companies Act Sections 139 and 143: the CAG appoints the statutory auditor, issues directions and may conduct supplementary or test audit. Corporations created by parliamentary law follow their establishing statutes under Section 19(2); a qualified State-corporation request route exists under Section 19(3). Section 20 enables entrusted audit after consultation, public-interest satisfaction and opportunity to represent. Local bodies are governed primarily by State laws under Articles 243J and 243Z; CAG audit or Technical Guidance and Support requires a valid statutory or entrusted basis. The correct method is entity, public-money link, legal gateway, necessary records and excluded scope.

Original Mains 4 - 15 marks, 250 words

Question: Examine how financial, compliance, propriety and performance audit jointly protect the public purse without creating a policy veto.

Model answer: Each audit lens protects a different dimension of accountability. Financial audit asks whether statements fairly present the entity's position under the applicable framework. Compliance audit tests whether expenditure and receipts conform to the Constitution, appropriation, statutes, sanctions, rules and contracts. Section 13's legally-available, authorised-purpose and governing-authority tests protect legislative control. Propriety audit goes beyond formal compliance to ask whether discretion was faithful, prudent and economical, exposing waste or conflict. Performance audit examines economy, efficiency and effectiveness; *Arvind Gupta* held this examination in-built in the 1971 Act. Together, the lenses prevent accurate accounting from masking illegality and prevent legal form from masking waste or failure. The boundary is institutional: audit may test preparation, implementation, criteria, contracts and results, but cannot replace the legislature or executive in choosing lawful policy. Nor does an adverse finding establish corruption or liability by itself. Article 151 and committee scrutiny supply democratic consequence. Legality is the floor, propriety the prudence test and performance the outcome test.

Original Mains 5 - 20 marks, 250 words

Question: Evaluate the CAG-PAC-CoPU accountability chain. Why may authoritative audit findings fail to produce timely correction?

Model answer: The chain separates professional verification from democratic judgment. The CAG audits within Articles 148-151 and the DPC Act, obtains relevant records, evaluates the auditee's response and submits final reports. Union reports go to the President for laying before each House; State reports go to the Governor for laying before the State legislature. PAC examines Appropriation and Finance Accounts and selected CAG reports, while CoPU examines specified public undertakings and related reports. Departments or enterprises give evidence; committees issue recommendations; governments submit action-taken replies. This avoids making the CAG auditor, prosecutor and judge simultaneously. Yet consequence may be delayed by late records, long audit cycles, delayed laying, report volume, selective examination, limited research support, party discipline, slow departmental replies and weak recommendation tracking. A CAG report is authoritative evidence, not an automatic recovery order or proof of guilt; *Arun Kumar Agrawal* confirms its location within parliamentary scrutiny. Reform should track every stage, strengthen committee support, require reasoned time-bound replies and publish closure status. Accountability succeeds when independence, timeliness and follow-up operate together.

Original Mains 6 - 20 marks, 250 words

Question: Discuss the boundaries of CAG audit over private entities, PPPs and off-budget forms of public finance. Suggest reforms.

Model answer: Private status neither defeats nor creates CAG jurisdiction. The inquiry begins with the public-finance nexus. Section 14 applies to bodies meeting substantial-finance tests; Section 15 scrutinises assurance over specific-purpose grants or loans; Section 16 audits receipts payable into Consolidated Funds; Section 20 permits entrusted audit with safeguards. Government companies follow Section 19 and Companies Act Sections 139/143. In *Association of Unified Telecom Service Providers* (2014), the Supreme Court allowed access to telecom licensee records necessary to verify the Union's revenue share; it did not authorise a roving audit of unrelated private business. PPPs and special-purpose vehicles may involve grants, guarantees, public assets, user charges or revenue sharing, but scope must match the lawful gateway. Off-budget borrowing is auditable where government accounts, guarantees, repayments or a covered entity supply jurisdiction; opacity alone cannot manufacture power. Reforms should insert clear audit-access clauses in public contracts, disclose guarantees and deferred liabilities, standardise digital records and metadata, protect commercial confidentiality, and require time-bound cooperation. Parliament should clarify persistent gaps rather than relying on expansive implication. The goal is substance-sensitive accountability with proportionate, legally bounded access.